



Qualification Programme Examination Panelist's Report

Module 1 –Accounting (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This paper consisted of 15 multiple choice questions. The session contained questions covering a wide range of topics in the syllabus, including both conceptual and computational types. The syllabus of this paper related broadly to the following topic areas:

- (a) Explaining the purpose of accounting;
- (b) Demonstrating an understanding of accounting principles;
- (c) Preparing accounting records and demonstrating management and control; and
- (d) Preparing and presenting financial statements from a trial balance or from incomplete records.

The multiple choice questions in this paper can be divided into two broad categories:

- (a) Conceptual questions worth 1 mark each; and
- (b) Computational questions worth 2 marks each.

On the whole, candidates' performance in this session was satisfactory, particularly on the computational questions, as computations are a key element of accounting. Candidates should improve their performance on foundational and conceptual questions in order to achieve better results.

Specific Comments

In general, candidates performed well on computational questions but showed weaknesses in the following areas:

- (a) Understanding the circumstances leading to the issuance of a debit note by a supplier;
- (b) Understanding the function of financial accounting;
- (c) Correcting accounting errors in the books of a company; and
- (d) Differentiating different cost components of a manufacturing company.

Candidates' performance on questions related to foundational accounting knowledge was relatively weak. A number of candidates did not perform well on areas related to basic knowledge, particularly on the constitution of prime cost in a manufacturing account and the posting of business transactions under a double entries system. These are fundamental aspects of accounting, so it appears these candidates may not have sufficiently covered the syllabus in depth.



(II) Section B – Written Questions

General Comments

The written questions tested the candidates' knowledge of bank reconciliation statements, accounting concepts, and accounting entries related to property, plant, and equipment. In addition, candidates were required to prepare financial statements, which was the most important part of this section. In general, performance in this section was fair. Candidates were proficient in calculation-type questions but weak in essay or case-type questions. Candidates seem to have had difficulty in providing appropriate and sufficient rationale to support their answers. With regard to calculations, candidates performed well on the preparation of financial statements based on the trial balance provided. However, candidates showed difficulty with questions testing their foundation of accounting knowledge on a double entries system, particularly on the preparation of ledgers or journal entries.

Specific Comments

Question 1(a) – 11 Marks

This question required candidates to update the bank ledger account of a limited company.

Candidate performance was fair in this question. Most candidates were able to identify errors and make necessary adjustments in the bank ledger. Some candidates did not fully understand the concept of ledger accounts and used on their own format in deriving the adjusted bank balance. A few candidates mixed up the adjustments with a bank reconciliation statement or prepared journal entries instead of a bank ledger.

Question 1(b) – 6 Marks

This question required candidates to prepare a bank reconciliation statement for a limited company.

Candidate performance was fair in this question. Most candidates correctly identified items to reconcile such as unpresented cheques and deposits in transit. A few failed to demonstrate an understanding of the format and presentation of bank reconciliation statements.

Question 2(a) – 16 Marks

This question required candidates to prepare a statement of profit or loss and other comprehensive income for a limited company in accordance with HKAS 1 (Revised).

Performance was satisfactory. Many candidates demonstrated an understanding of the format and presentation of the statement, and most were able to present the "other comprehensive income" section. However, some candidates were not able to:

- (a) Deduct Returns Inwards from sales to determine the net sales amount;
- (b) Classify Carriage Inwards as part of the Cost of Sales; and
- (c) Correctly determine the revaluation surplus of a building.



Question 2(b) – 15 Marks

This question required candidates to prepare a statement of financial position for a limited company in accordance with HKAS 1 (Revised).

Performance was satisfactory as most candidates demonstrated an understanding of the format and presentation of the statement. However, some candidates were not able to distinguish between non-current liabilities and current liabilities and incorrectly classified the “Bank loan” as current liabilities. Additionally, many candidates failed to state the revaluated amount of the building in the non-current assets. A few candidates presented net assets in the statement of financial position, which was not in alignment with the presentation format as prescribed in HKAS 1 (Revised).

Question 3 – 9 Marks

This question required candidates to apply their judgement and analyse the two cases by identifying and explaining the appropriateness of accounting treatments with reference to the relevant accounting basis/ concepts/ qualitative characteristics.

Performance on this question was unsatisfactory, and most candidates failed to mention whether the accounting treatment was appropriate or not. For case (1), most candidates failed to explain the case in accordance with the materiality concept. A few candidates mentioned materiality but failed to determine the materiality by comparing the cost of the screwdrivers with the net profit for the year.

For case (2), the majority of candidates were able to set out their answers correctly and in a logical manner. However, most candidates failed to elaborate on the principle behind their answers and, instead, simply focused on explaining the case.

Question 4(a) – 20 Marks

This question required candidates to prepare journal entries relevant to the acquisition and disposal of property, plant, and equipment.

Performance was unsatisfactory. Most candidates were able to differentiate between capital expenditure and revenue expenditure. However, the majority of candidates failed to calculate the depreciation expense for both furniture and motor vehicles. Additionally, most did not incorporate date and narrative in their journal entries.

Question 4(b) – 3 Marks

This question required candidates to prepare non-current assets section of the statement of financial position.

Performance was unsatisfactory as most of the candidates failed to calculate the accumulated depreciation for both furniture and motor vehicles. Also, no working was shown to support their answers.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. Candidates were familiar with key accounting topics such as the preparation of financial statements.

Candidates are advised to strengthen their understanding of fundamental accounting topics, such as general accounting concepts and principles, the concept of double entries systems, and the preparation of journal entries and ledger accounts. They are also recommended to be familiar with the most updated presentation format of financial statements as prescribed in HKAS 1 (Revised) and to remind themselves of the proper preparation of journals with dates and narratives.

Candidates are also advised to put more effort into specialized topics such as correction of errors, manufacturing accounts, bank reconciliation statements, and the acquisition and disposal of property, plant, and equipment.

Candidates are encouraged to improve their writing skills and to be more confident when answering essay or case-type questions as these questions seek to develop their foundational knowledge for the forthcoming module examinations. These could be improved by practicing examination-type questions from the pilot paper, past examination papers, or study materials. Candidates are reminded to read the questions carefully and to address the requirements of the questions. For essay-type question, it is important to demonstrate an understanding of how the answers are being structured.

On the whole, candidates are reminded to read the entire paper carefully, noting how many questions need to be completed, and to better plan the amount of time they spend on each question. Remember to attempt all the questions in the paper and to not be tempted to run over time with a particular question.